



DEPARTMENT OF
RISK & INSURANCE

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Professor Yuan Liao
Department of Economics
Tippie College of Business
University of Iowa
21 E. Market Street
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Dear Professor Liao,

I am writing to express my strong interest in the tenure-track Assistant Professor position in the Department of Economics at the University of Iowa's Tippie College of Business. I expect to graduate in May 2026.

My research interests are at the intersection of insurance and public economics. As an insurance economist, most of my research focuses on how policymakers, employers, individuals, and insurance markets interact. Centered on one of those interactions, my dissertation focuses on workers' compensation. My job market paper ([link](#)) leverages a unique feature of US workers' compensation insurance markets (relative to other lines of insurance): the competitive, standalone public option which competes with the private market. Exploiting the formation of several public options by different states in the 1990s, I show that public options lead to more concentrated markets and have little effect on insurer loss ratios, after taking legislated benefit cuts into account.

The other portion of my dissertation focuses on a unique policy in one US state (Texas), which allows employers to opt out of providing workers' compensation coverage and, therefore, expose themselves to potential legal liability from their employees. To study the Texas setting, I constructed a unique dataset, based on multiple open records requests, that will inspire several future projects. These data include information at both the employer-level, with insurance policy information, and the claim-level within employers. One ongoing project studies how employers make the decision to opt out, focusing on the impacts of insurance premiums (paid by employers that opt in to the workers' compensation system) and increased wages to make up for less in total benefits (plausibly paid by employers that opt out of this system).

My published work and other research activities also reflect my interest in the intersection of insurance and public economics. My paper in the *Journal of Health Economics*, for instance, deals with the quality of life expectancy gains across the wealth distribution, informing debates about the progressivity of old-age insurance provided by Social Security. Another paper, which just received a revise-and-resubmit request at the *Journal of Risk and Insurance*, focuses on how expansions of health insurance in the US via Medicaid altered incentives to claim Social Security benefits. Another recent paper studies the decumulation patterns of older individuals in the US, decomposing these patterns by asset type, total wealth, and financial literacy. This project recently received a revise-and-resubmit request at the *Geneva Papers on Risk and Insurance – Issues and Practice*.

I also serve as a policy consultant at the National Academy of Social Insurance, focused on their workers' compensation work stream, and was a summer fellow at the US Department of Labor's Chief Evaluation Office last year. In addition, I am in my third year as a Graduate Research Fellow at the Institute for Research on Poverty. These roles serve to both strengthen my work and deepen my institutional knowledge, to the benefit of my research agenda.

My research work thus far has also assisted me in developing skills in competing for grants and research awards. While I cannot be a principal investigator (PI) on most grants without a PhD, I helped draft the materials for two large grants. The first was from TIAA, and the resources supported the published paper mentioned above. I have continued to foster connections at TIAA, gauging interest in some new work on older Americans and life insurance that is in progress. The second was a part of the Fall Research Competition at the University of Wisconsin-Madison (UW-Madison) and related to my job market paper. These types of awards not only provide useful support but also serve to expand the reach of my work.

Beyond research, I look forward to contributing to the University in a teaching role. I have served in teaching assistant (TA) and lecturer roles at the Wisconsin School of Business each year of my program. This includes four years as a TA and one summer term as a lecturer, all for the introductory risk management course. During each of my four years as a TA, I received a school-wide Distinguished Teaching Award. I also led the main lecture on employee benefits and pension topics. As a lecturer, my course covered many topics, including legal liability, risk aversion, the economics of healthcare, information frictions, and the effect of corporate risk management on the cost of capital. As a result, beyond any risk management and insurance courses, I also feel equipped to teach courses related to microeconomics (introductory, intermediate, and applied), causal inference, public economics and finance, health economics, applied econometrics, and behavioral economics. I also feel able to support and develop special topics courses, including those related to social insurance, decision-making in the face of risk, public policy, and poverty.

I would be eager to contribute to both Tippie and the department. At Tippie generally, and given my research interests, I would be interested in engaging with the Vaughan Institute. I would also look forward to contributing to the department's rigorous intellectual setting. This includes working together with people who share interests with me. I notice several overlaps in research interests, for example, with Dr. David Frisvold on aging and social insurance topics, and with Dr. Anil Kumar on Social Security and labor topics.

With my application, I am submitting my curriculum vitae, contact information for three professional references, a statement of my teaching philosophy (with evidence of effectiveness), and several recent papers (one recent publication, along with my job market paper and two working papers that recently received revise-and-resubmit requests). I am happy to provide any additional information.

I greatly appreciate your time and thank you for your consideration of my application. I look forward to hearing from you.

Sincerely,

A handwritten signature in black ink, appearing to read 'Tyler Q. Welch', with a stylized, cursive script.

Tyler Q. Welch